

FEDERAL MARITIME COMMISSION

LOGFRET, INC.,

Complainant,

v.

KIRSHA, B.V., LEENDERT JOHANNES
BERGWERFF A/K/A HANS BERGWERFF,
AND LINDA SIEVAL,

Respondents.

Docket No. 18-10

Served: June 22, 2020

BY THE COMMISSION: Michael A. KHOURI, Chairman,
Rebecca F. DYE, Daniel B. MAFFEI, Louis E. SOLA, Carl W.
BENTZEL, Commissioners.

Order Affirming Denial of Attorney Fee Petition

This case is before the Commission on Respondents' exceptions to an Administrative Law Judge (ALJ) order denying Respondents' petition for attorney fees. In the underlying proceeding, Complainant alleged that Respondents violated 46 U.S.C. §§ 41103(a) and 41104(a)(1). The ALJ dismissed the complaint, and neither party appealed. Respondents subsequently petitioned for attorney fees as prevailing parties under 46 U.S.C.

§ 41305(e) and 46 C.F.R. § 502.254. The ALJ denied the petition, and Respondents filed exceptions. Because the ALJ did not err, the Commission affirms the order denying the attorney fee petition.

I. BACKGROUND

A. Allegations

As the ALJ noted, this case is part of a larger dispute between a Dutch common carrier – Logfret B.V. – and its former managing director, Respondent Leendert Johannes Bergwerff. Am. Compl. ¶¶ 1, 6, 7.¹ Mr. Bergwerff, a Dutch national, was the managing director of Logfret B.V. from 2006 until 2017. *Id.* ¶ 7. Mr. Bergwerff is also the owner and managing director of Respondent Kirsha B.V., another Dutch corporation. *Id.* ¶¶ 11-12.² Respondent Linda Sieval, a Dutch national, was Logfret B.V.’s sales manager until 2018. *Id.* ¶ 19. Complainant Logfret, Inc., is a Delaware corporation and a licensed non-vessel-operating common carrier (NVOCC) and freight forwarder. *Id.* ¶¶ 3, 4. Complainant is a subsidiary of Logfret Group (which is in turn a subsidiary of Logistique Holding SAS) and is an affiliate of Logfret B.V. *Id.* ¶¶ 3, 5. Complainant did not name Logfret B.V. as a respondent in this case.

According to Complainant, Mr. Bergwerff, Ms. Sieval, and Kirsha B.V. “committed numerous unethical and illegal activities with respect to the management and governance of Logfret B.V., including but not limited to improper leasing and refurbishment of new offices, improper accession to a new management agreement, and misappropriation of Logfret B.V. assets.” *Id.* ¶ 25. Further, in a

¹ In ruling on Respondents’ motion to dismiss the amended complaint, the ALJ was generally limited to considering the amended complaint and exhibits thereto, and the ALJ was required to accept the well-pleaded factual allegations as true. I.D. at 3. Similarly, in describing the background of this matter, the Commission, unless otherwise noted, will rely on the amended complaint and exhibits thereto.

² According to Respondents, Kirsha B.V. is a holding company that owns 27.4% of Logfret B.V. and 50% of Logfret B.V.’s landlord. Exceptions at 11.

letter attached to the Amended Complaint, Logistique Holding SAS accused Mr. Bergwerff of, among other things, “poisoning the personnel of Logfret against its majority shareholder, reaching out to competitors and potentially even sharing company-sensitive information with competitors of LH,” “trying to snap up employees from the Logfret-group to start working for one of [his] own companies,” and “ask[ing] employees of Logfret to have Logfret enter into transport contracts with competitors of the Logfret-group.” Am. Compl. Ex. 6 at 1-2. This latter conduct, the letter states, was impermissible because “[b]eing part of the Logfret-group, Logfret [B.V.] is obliged to grant business – where possible – within the Logfret group.” *Id.* at 1.

Regarding granting business outside the Logfret group, Mr. Bergwerff, with Ms. Sieval’s assistance, “directed the staff of Logfret B.V. to handle inbound shipments to the United States through Delmar USA rather than [Complainant], for at least two accounts.” Am. Compl. ¶ 32.³ This was allegedly part of a plan whereby Mr. Bergwerff and Ms. Sieval would use the infrastructure, employees, and resources of Logfret B.V. to issue Delmar USA bills of lading for inbound shipments to the United States. *Id.* ¶ 31; *see also id.* ¶ 36. Additionally, Complainant claims, Mr. Bergwerff, Ms. Sieval, and Kirsha B.V. used “Logfret Cargo Line,” a “fictitious entity” to issue fraudulent bills of lading. *Id.* ¶¶ 27, 38. In May 2017, Mr. Bergwerff was dismissed as managing director of Logfret B.V. *Id.* ¶ 39.

B. Procedural History

Complainant filed a complaint in November 2018 alleging that Respondents violated 46 U.S.C. § 41103(a), which prohibits a common carrier, marine terminal operator, or ocean freight forwarder from knowingly disclosing, offering, soliciting, or receiving information about a shipment without the consent of

³ Delmar USA is a licensed NVOCC and freight forwarder and a competitor of Complainant. Am. Compl. ¶¶ 17, 34.

shipper or consignee if the information may be used to the detriment of the shipper, consignee, or any common carrier, or if the information would improperly disclose the business transaction to a competitor. Although Complainant alleged generally that the Commission had jurisdiction, Compl. ¶ 9, it did not allege that Respondents were common carriers, marine terminal operators, or ocean freight forwarders subject to § 41103(a). Complainant sought damages of \$ 2 million.

Respondents moved to dismiss the complaint for lack of subject matter and personal jurisdiction, arguing that Complainant failed to allege that Respondents were regulated entities. Respondents also argued more generally that Complainant “sought to misrepresent internal management/employment disputes between Complainant and Respondents as violations of U.S. federal shipping laws.” Resp. Mem. Mot. Dismiss at 1.

In response, Complainant moved to amend the complaint and opposed the motion to dismiss. In the amended complaint, Complainant alleged that Respondents were common carriers, Am. Compl. ¶¶ 19-21, and, additionally, that by “arranging and benefiting from the provision of ocean transportation of cargo . . . via the fictitious and unregistered entity ‘Logfret Cargo Line,’” Respondents acted as “de facto” common carriers and NVOCCs, *id.* ¶ 30. Complainant reiterated the allegation that Respondents violated 46 U.S.C. § 41103(a) when they routed Logfret B.V. shipments through Delmar USA instead of Complainant. *Id.* ¶¶ 47-51. Complainant also added a new count alleging that Respondents violated 46 U.S.C. § 41104(a)(1)⁴ by allowing “the shipper of the cargo moving on the fraudulent [Logfret Cargo Line] bill of lading to obtain transportation for property at less than the rates that would

⁴ Section 41104(a)(1) of Title 46 provides that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . allow a person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighing, false measurement, or any other unjust or unfair device or means.”

have otherwise applied if the shipper had obtained transportation from the underlying carrier under another rate, such as its tariff rate.” *Id.* ¶ 45.

The ALJ granted the motion to amend but allowed the parties to continue to brief the motion to dismiss, including Respondents’ arguments that the amended complaint did not cure the jurisdictional defects in the original complaint. On September 17, 2019, the ALJ dismissed the amended complaint with prejudice, finding that Complainant had not adequately alleged that Respondents were common carriers or otherwise subject to §§ 41103(a) or 41104(a)(1). I.D. at 13, 19. Neither party filed exceptions to the ALJ’s decision, which became final on October 21, 2019.

Respondents subsequently petitioned for attorney fees. The ALJ permitted Respondents to supplement their petition to address whether they were eligible for and entitled to fees and granted Complainant additional time to respond.⁵ On February 20, 2020, the ALJ denied Respondents’ petition for attorney fees. The ALJ found that there was no evidence that the proceeding was “frivolous, improperly motivated, objectively unreasonable, or otherwise appropriate for an award of attorney fees. Ord. Denying Pet. at 6. Respondents filed exceptions, which are ripe for Commission review.

⁵ Complainant moved to strike the petition for attorney fees as premature, arguing that the Initial Decision was not final because the time to file an appeal with a federal court of appeals had not expired. The ALJ correctly denied the motion to strike. Further, to correct any misunderstanding, the Complainant in this case could not have successfully appealed. A party who fails to file exceptions to an ALJ decision cannot subsequently appeal that decision to a federal court of appeals. Rather, a party must first appeal to the Commission by filing exceptions. If the party disagrees with the Commission decision on exceptions, then the party can appeal to federal court. In other words, a party must exhaust its administrative remedies before going to court. *See* 46 C.F.R. § 502.227(a)(4) (“A decision or order of dismissal by an administrative law judge shall only be considered final for purposes of judicial review if the party has first sought review by the Commission pursuant to this section.”).

II. DISCUSSION

Section 41305(e) of Title 46 provides that the Commission may award the prevailing party reasonable attorney fees. *See also* 46 C.F.R. § 502.254(a). The Commission conducts a two-step inquiry in determining whether to award fees. First, the Commission considers whether a petitioner is eligible for fees, that is, whether it is a “prevailing party.” If the answer is yes, the Commission considers whether it should award fees to the petitioner. *See Baltic Auto Shipping, Inc. v. Hitrinov*, Docket No. 14-16, 2017 FMC LEXIS 16, *22-*25 (FMC Oct. 25, 2017); *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-04, 2016 FMC LEXIS 58, *12-*14 (FMC Sept. 14, 2016). Here, although Respondents are prevailing parties, the Commission concludes that they are not entitled to attorney fees.

A. Standard of Review

The Commission reviews the ALJ’s denial of Respondents’ petition for attorney fees de novo. *See* 46 C.F.R. § 502.254(h); 46 C.F.R. § 502.227(a)(6); *see also Edaf Antillas*, 2016 FMC LEXIS 58 at *11. Additionally, Respondents, as the parties seeking an award of attorney fees, bear the burden of establishing that they are eligible for and entitled to fees, documenting the appropriate hours, and justifying the reasonableness of the rates. *Edaf Antillas*, 2016 FMC LEXIS 58 at *11. The standard of proof is preponderance of the evidence. *Cf. Octane Fitness, LLC v. ICON Health & Fitness, Inc.*, 572 U.S. 545 (2014) (rejecting clear-and-convincing-evidence standard for fee-shifting in patent cases and noting that preponderance is standard generally applicable in civil actions); *Verisign, Inc. v. XYZ.COM LLC*, 891 F.3d 481, 484-86 (4th Cir. 2018) (adopting preponderance standard for fee-shifting in false advertising case under Lanham Act).

B. Eligibility for Attorney Fees

A respondent is a “prevailing party” for purposes of attorney fees if it has “rebuffed” a complainant’s challenge. *Baltic*, 2017 FMC LEXIS 16 at *23 (“A respondent prevails when the complainant’s challenge is rebuffed ‘irrespective of the precise reason for the court’s decision.’”) (quoting *CRST Van Expedited, Inc. v. EEOC*, 136 S. Ct. 1642, 1651 (2016)). The ALJ found that Respondents were prevailing parties because their motion to dismiss was successful and the amended complaint was dismissed with prejudice. Ord. Denying Pet. at 4. Neither party disputes this conclusion, and the Commission agrees that Respondents are eligible for an award of fees.

C. Entitlement to Attorney Fees

In determining whether the Commission should award attorney fees, the primary consideration is “whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes.” Final Rule: Organization and Functions; Rules of Practice and Procedure; Attorney Fees, 81 Fed. Reg. 10508, 10509 (Mar. 1, 2016). The Commission’s analysis considers several factors: frivolousness, objective unreasonableness (in the factual and in the legal components of a case), motivation, and deterrence and compensation. *Edaf Antillas*, 2016 FMC LEXIS 58 at *14.

1. Objective Unreasonableness

The ALJ determined that while Complainant’s claims, particularly regarding whether Respondents were regulated entities, were unsuccessful, they were not frivolous or clearly without merit. Ord. Denying Pet. at 6. The ALJ noted that the factual situation was unusual and there were no similar cases that could have provided clear guidance. *Id.*

On appeal, Respondents argue that Complainant’s claims

were objectively unreasonable because: (a) Complainant's initial complainant failed to allege that Respondents were regulated entities; (b) Complainant contradicted its allegations that Mr. Bergwerff and Ms. Sieval were common carriers in its opposition to the motion to dismiss; (c) Complainant's counsel made arguments that counsel should have known were meritless; and (d) Complainant's allegations that Kirsha B.V. was a common carrier were based on false statements. Complainant does not address these arguments. Rather, it emphasizes that unlike in *Edaf Antillas*, where the Commission awarded fees based on the complainant failing to prosecute its claims and respond to ALJ orders, Complainant here fully engaged with the administrative process and timely complied with all ALJ orders.

As the ALJ pointed out, "objective unreasonableness" "is generally used to describe claims that have no legal or factual support." *Viva Video, Inc. v. Cabrera*, 9 F. App'x 77, 80 (2d Cir. 2001). It means a claim is "clearly without merit or otherwise patently devoid of a legal or factual basis." *Insurent Agency Corp. v. Hanover Ins. Co.*, Case No. 16-cv-3076, 2020 U.S. Dist. LEXIS 2565, at *10 (S.D.N.Y. Jan. 8, 2020) (internal citations and quotation marks omitted).⁶ The mere fact that a respondent has prevailed does not render a complainant's claims objectively unreasonable, otherwise prevailing respondents would be per se entitled to attorney fees, an approach the Commission has rejected. 81 Fed. Reg. at 10509 (noting that "[t]here should be no general presumption for or against awarding attorney fees"); *see also Chivalry Film Prods. v. NBC Universal, Inc.*, Case No. 05-cv-5627, 2007 U.S. Dist. LEXIS 86889, at *6 (S.D.N.Y. Nov. 27, 2007).

⁶ Although courts list "frivolousness" and "objective unreasonableness" as separate factors, they overlap significantly, and the parties have not argued that the Commission should distinguish between the two factors. *See Creazioni Artistiche Musicali, S.R.L. v. Carlin Am., Inc.*, Case No. 14-cv-9270, 2017 U.S. Dist. LEXIS 124082, *9 (S.D.N.Y. Aug. 4, 2017) (noting that frivolous factor "clearly overlaps significantly with the consideration of objective unreasonableness, although the Second Circuit has indicated that the two factors are 'not necessarily coextensive'").

Further, “the fact that a defendant has prevailed on a motion to dismiss or on summary judgment does not require the court to award fees.” *Chivalry Film Prods.*, 2007 U.S. Dist. LEXIS 86889 at *6.

Although Complainant’s allegations and arguments that Respondents were common carriers were unpersuasive, they were not so patently devoid of merit so as to weigh in favor of awarding fees. Complainant alleged that two employees of a common carrier (Logfret B.V.) used their positions with the carrier to arrange ocean transportation to their benefit, and to the detriment of Complainant, a member of their corporate family, in violation of the Shipping Act. Complainant further alleged that these two respondents issued fraudulent bills of lading on behalf of a nonexistent entity. And Complainant alleged that they did so via Respondent Kirsha B.V. The ALJ found that although Logfret B.V. may have acted as a common carrier, Complainant did not adequately allege that Respondents themselves did. I.D. at 16.

It appears that Complainant’s basic argument was that by using a common carrier to pursue their own interests, Respondents acted *ultra vires* and thus acted as common carriers in their own right. As the ALJ pointed out, there is little Commission caselaw discussing that scenario. Consequently, one cannot characterize the argument as *clearly* without merit. This case is not *Edaf Antillas*, where the complainant wasted the respondents’ and Commission’s time and resources by failing to prosecute its claims and respond to orders. *Edaf Antillas*, 2016 FMC LEXIS 58 at *15. It is more similar to *Baltic*, where the nonprevailing complainant made colorable arguments. 2017 FMC LEXIS 16 at *28-*31.

Turning to Respondents’ specific arguments, it is true that the initial complaint did not allege that Respondents were entities subject to 46 U.S.C. §§ 41103(a) or 41104(a)(1). But this mistake alone is insufficient to justify fee-shifting, especially given that Complainant attempted, albeit unsuccessfully, to amend its complaint to cure the error.

Nor did Complainant “readily, lucidly, and unequivocally” withdraw its allegations that Mr. Bergwerff and Ms. Sieval were common carriers in its opposition to the motion to dismiss, as Respondents claim. Exceptions at 10-11. Respondents point out that Complainant argued that:

Here Respondents not only participated in the violation of 46 U.S.C. § 41301(a) [sic] but without question also contributed to the harms inflicted on Complainant. As noted, Kirsha B.V. is a common carrier. *The fact that the other two Respondents are not common carriers* is not a magic talisman that absolves them of responsibility—or liability—for the damages that resulted from their actions.

Complaint Opp. at 9-10 (emphasis added). But later in this document, Complainant reiterates its argument that Mr. Bergwerff and Ms. Sieval were “de facto” common carriers. Complainant Opp. at 14. In other words, Complainant did not admit that its allegations were spurious; rather, it made alternative arguments, a relatively common legal strategy. Order Denying Pet. at 5 (“[I]t is common to have alternative theories of legal liability . . .”).

As for Respondent Kirsha B.V., Respondents argue that Complainant formulaically alleged it was a common carrier without adequate factual allegations, and, additionally, that Complainant made false statements about Kirsha B.V. that cannot establish colorable allegations under the Shipping Act. Exceptions at 11-14. Respondents, appear, however, to conflate the pleading standard with the objective unreasonableness factor for attorney fees. The insufficiency of Complainant’s allegations is why the ALJ dismissed the complaint. But that does not mean that attorney fees are warranted.

Moreover, Respondents have not established that Complainant made false statements. The statements Respondents rely on come from Complainant’s opposition to the motion to

dismiss, where Complainant listed examples of conduct that the Commission has deemed “holding out” and “assuming responsibility” for purposes of determining whether an entity is a common carrier. Complainant’s Opp. at 7-8. Complainant explained that its “understanding [was] that Kirsha B.V. performed all of the above unlicensed NVOCC activities when it was in operation and as such is subject to Commission jurisdiction, but, as noted, discovery is needed to reveal additional facts confirming the same.” *Id.* at 8. By making this argument, it not clear that Complainant was making false statements, as Respondents’ claim. Moreover, the only “evidence” that these statements were false are Mr. Bergwerff’s declaration and Respondents’ arguments in their exceptions.

More concerning, however, is that Complainant argued in opposing the motion to dismiss that the Commission had jurisdiction over Respondents because they were “any other persons” under §§ 41103(a) and 41104(a)(1). Both statutes prohibit a common carrier, “either alone or in conjunction with any other person,” from engaging in specified conduct.⁷ The plain language of the statutes indicate that the prohibitions apply to common carriers, not “any other person.” Further, in *DNB Exports, LLC v. Barsan Global Lojistik ve Gumruk Musavirligi A.S.*, the complainant argued that § 41103(a) applied to Respondent Impexia as “any other person.” Docket No. 11-07, 2014 FMC LEXIS 2, *82-*86 (ALJ Jan. 24, 2014), *rev’d on other grounds*, 33 S.R.R. 670 (FMC 2014). The ALJ implicitly rejected that argument, holding that § 41103(a) applies only to common carriers, marine terminal operators, and ocean freight forwarders. *Id.* at *93. Complainant should have known that the Commission in *DNB* had rejected the “any other person argument”: Complainant’s counsel here was counsel for Impexia in the *DNB* case. But that alone does not make Complainant’s claims objectively unreasonable.

In sum, Complainant’s claims that Respondents were

⁷ Section 41103(a) also applies to marine terminal operators and ocean freight forwarders.

regulated entities subject to §§ 41103(a) and 41104(a)(1) were weak and dismissed accordingly. But the ALJ correctly found that they were not objectively unreasonable. Consequently, this factor does not weigh in favor of an attorney fee award.

2. Motivation

Similarly, the “motivation” factor does not weigh in favor of awarding Respondents fees. A party is improperly motivated where it asserts claims not because of their merit, but because the party “seeks to knowingly gamble[] on an unreasonable legal theory in order to achieve a secondary gain,” such as the leveraging of a settlement. *Creazioni*, 2017 U.S. Dist. LEXIS 124082 at *10 (quoting *Agence Fr. Presse v. Morel*, No. 10-cv-2730 (AJN), 2015 U.S. Dist. LEXIS 189008 (S.D.N.Y. Mar. 23, 2015)). The ALJ found that although it was possible that Complainant had an improper motive, there was insufficient evidence to determine Complainant’s motivation.

Respondents argue that it is “clear” that Complainant’s primary motivation is to harass. Exceptions at 7. According to Respondents, “Complainant amply demonstrates it intended a frivolous suit by consistently alleging facts that underscored management disputes among the owners of Logfret B.V., and by the allegation of Shipping Act violations in strained language which was ultimately found by the ALJ to be legally and factually insufficient.” *Id.* at 6-7. Respondents also emphasize that Complainant sought damages of \$2 million, which it characterizes as “an amount intended to cause harassment and anguish to the two individual Respondents.” *Id.* at 7. Complainant counters that it brought its claims in a “in a good-faith attempt to redress, under US federal law and jurisprudence, significant injury inflicted upon it by the Respondents” and that it “was, and remains, protective of its business interests and willing to guard these interests through enforcement of all potentially applicable legal remedies.” Complainant Reply to Exceptions at 10.

The ALJ did not err in finding insufficient evidence of improper motivation. That Complainant mentioned the Logfret B.V. management dispute in its complaint does not mean that the complaint was made solely to harass Respondents. That parties (or their affiliates) may be engaged in other litigation in other fora does not make it improper for a party to bring a non-frivolous Shipping Act claim. Nor is the amount of damages sought particularly probative as to Complainant's motive. And there is no evidence that Complainant was using this case to force a settlement or other outcome in the parties' other litigation.

3. Compensation and Deterrence

Both parties suggest that considerations of compensation and deterrence support their preferred outcome. Respondents argue that awarding fees would deter complainants from using Commission facilities for purposes for which they were not intended. Exceptions at 8. Complainant contends that awarding fees would have a chilling effect on those who want to bring good-faith claims before the Commission. Complainant Reply to Exceptions at 7-8.

The Commission agrees with the ALJ that the "purposes of the Shipping Act are met when complainants are able to raise potential violations, even under unusual or unique circumstances, without the chilling impact of having to pay Respondents' attorney fees." Order Denying Pet. at 6. Consequently, this factor weighs against imposing fees.⁸

III. CONCLUSION

For the reasons set forth above, the factors on balance weigh against awarding attorney fees, and the Commission thus affirms the

⁸ The ALJ questioned whether the relative financial strength of the parties is relevant to whether an award of fees is warranted. Order Denying Pet. at 6. Regardless, there is insufficient information about the parties' relative financial strength for this factor to weigh in either direction.

ALJ's denial of Respondents' attorney fee petition.

THEREFORE, IT IS ORDERED, That Respondents' Petition for Attorney's Fees be DENIED.

Finally, IT IS FURTHER ORDERED, That this proceeding be discontinued.

By the Commission.

Rachel E. Dickon
Secretary